



Dear Stakeholders,

The customers, employees and stockholders of Aspen Aerogels are at the center of our many accomplishments this year. Our mission has always been to build a vibrant company with a culture that is open, transparent, and fair, and to use our unique technology to create compelling value for our customers by solving some of the world's toughest challenges. Aspen's strategy is to leverage our Aerogel Technology Platform™ into high-value, high-growth markets. For twenty years, we have been guided by the spirit of mutual benefit in our relationship with our customers and partners. Aspen is setting a new standard for energy efficiency, asset protection, and fire safety in both traditional and new energy sectors. We believe we have an important role to play as the world moves to a more sustainable future.

2021 Highlights and Recent Business Developments

2021 was an impactful year for Aspen. The significant adoption of our PyroThin® thermal barriers in the electric vehicle (EV) market, along with the accelerating recovery in the energy infrastructure market, has propelled our company forward in significant ways.

Total revenue grew 21% during 2021 to \$121.6 million, reflecting growth in each of our principal markets. Moreover, and commensurate with the scale of the EV market, we are targeting to double our revenue from 2021 to 2023 and to triple our revenue from 2023 to 2025. In 2021, and into 2022, Aspen:

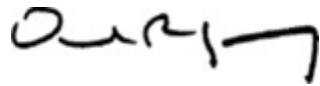
- Generated \$6.7 million of PyroThin thermal barrier revenue in 2021 from ten customers.
- Commenced shipment of PyroThin thermal barrier production parts to GM and Toyota.
- Selected Bulloch County, Georgia as the site for our planned second manufacturing facility. The 500,000-square-foot advanced aerogel manufacturing facility is expected to add \$1.35 billion of annual revenue capacity in support of the thermal barrier expansion plan in the fast-growing EV market.
- Announced the decision to locate an automated fabrication operation in Mexico.
- Raised \$225 million from Koch Strategic Platforms (KSP) in multiple financings. These investments from KSP strengthened our financial position and enhanced our capabilities to execute our growth plan.
- Bolstered the Executive Team with strategic leadership additions that support the new phase of Aspen's long-term strategy.
- Received GM's *Overdrive Award* as part of their 30th Annual Supplier of the Year awards (for *Launch Excellence* recognizing Aspen's key role in GM's thermal propagation strategy). Aspen's industry leading PyroThin thermal barrier technology is integrated into GM's Ultium battery platform.
- Advanced carbon aerogel technology as a backbone for break-through work within Aspen Battery Materials.

Aspen is investing in people, resources, and capital assets to bolster the commercial opportunities that are expanding at a rapid rate. We seek mutually beneficial relationships with our customers, employees, investors, the communities in which we operate, and society as a whole. We explore new uses for our Aerogel Technology Platform with the goal of improving the environmental performance and safety of our customers' products and processes. We respect and celebrate our employees by striving to create a diverse and inclusive environment in which people thrive. We know that we have a responsibility to be leaders in manufacturing practices that help protect our environment. As a result, we value environmental, social and governance (ESG) criteria as an integral part of our business strategy and have started the process of reorganizing our sustainability-related policies and programs into a formal ESG strategy. We plan to publish our first ESG Highlights report this Spring, in which we will outline our approach to sustainability and key initiatives across ESG priorities. Our goal is to provide a foundation for deeper discussions on specific ESG topics with investors and other stakeholders and to enable everyone to have access to accurate and timely information.

Before closing, I want to thank John Fairbanks, who served Aspen over the last fifteen years as our Chief Financial Officer and retired on April 1, 2022. John played an instrumental role in building a company that has vast opportunities ahead. All of us at Aspen thank John and wish him the very best. With John's retirement, Ricardo Rodriguez has been named Aspen's CFO. Ricardo brings with him a wealth of automotive knowledge and financial acumen, and a strong track record of driving growth and delivering results. His leadership will be invaluable to Aspen as we expand our business and profitability in the years to come.

It is an exciting time to be a part of Aspen, and I am privileged to be leading this important company into its next chapter. The year 2021 marked the 20th anniversary of Aspen Aerogels. I cannot thank every Aspen employee enough for their efforts to make the company successful, especially over the past two years. Despite the stresses related to the COVID-19 pandemic, we stayed focused on delivering value to our customers and on achieving our goals. We are poised to leverage our strong position in current markets and to explore new markets that are aligned with our strategy. The entire management team and I extend our sincere appreciation to our stockholders, customers, employees, and suppliers for their continued trust, confidence, and support. We remain committed to maintaining the highest ethical standards in our relationships with all our stakeholders, and to exceeding your expectations at every opportunity.

Sincerely,



Donald R. Young
President & Chief Executive Officer

